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Citizens Financial Group (CFG) — Bank Valuation, Forecast & Positioning

A super-regional bank deep dive on the framework banks are actually valued on — P/E, P/B, price-to-tangible-book and ROTCE — with forecast, Monte Carlo and event analysis.

Ticker CFG Sector Financials · Regional Banks As of 2026-07-12 · \$70.34

ROTCE 10.6% vs CoE ~10% Content hash 5608e60ee6c79072

Status Reviewed draft · sign-off pending

Governance & guardrails. Research only — **not investment advice** (Ethics 3.30). **Banks are not valued on EV/EBITDA or ROIC** (deposits are not debt, net interest income is operating) — this report uses the book-value/returns framework: P/E, P/B, price-to-tangible-book (P/TBV) and return on tangible common equity (ROTCE). Data via yfinance; forecasts are scenario anchors on a near-random-walk series; qualitative sections reflect analyst knowledge and must be re-verified.

EXECUTIVE BRIEF

Citizens screens cheap on price-to-book, but that book is padded with acquisition goodwill. On tangible book — the metric that matters — it is fairly-to-slightly-richly valued for its returns: a ~10.6% ROTCE that sits below its super-regional peers. This is a returns story, not a valuation bargain. The path higher runs through ROTCE (private bank, NIM, efficiency), not multiple expansion.

- Valued the right way (banks have no EV/EBITDA): CFG trades at ~1.25x book but ~1.87x tangible book, on a ~10.6% ROTCE — below the super-regional peer group.
- Cheap on P/B is a goodwill illusion: book value ~\$56 vs tangible book ~\$38 (~\$19/share of acquisition goodwill from Investors Bancorp and the HSBC/East-Coast deals).